7.7 Process of issue of equity shares

A company can issue shares as per the provisions of the Indian Companies Act and as per the guidelines issued by Securities and Exchange Board of India (SEBI).

(i) **Inviting subscription:** A public company has to issue a prospectus and invite the general public to subscribe for its shares.

(ii) **Receipt of application:** On the basis of the prospectus, applications are deposited in a scheduled bank by the applicants along with application money within the time specified. Application money must be at least 5 per cent of the nominal value of the shares.

(iii) **Allotment of shares:** When the minimum subscription stated in the prospectus has been subscribed for by the public, a company can allot shares. For those to whom shares could not be allotted, their application money will be refunded. If the minimum subscription is not received, all the application money received has to be refunded to the applicants.



As per Section 39 of the Indian Companies Act, 2013, application money must be at least 5 per cent of the nominal value of shares or such other percentage or amount as may be specified by the Securities Exchange Board by making regulations. As per SEBI guidelines, the minimum application money shall not be less than 25 per cent of the issue price.

A company may issue equity shares either for cash or for consideration other than cash. When shares are issued for cash, the cash may be received (a) in instalments or (b) at one time (lumpsum).

7.8 Issue of shares for cash in instalments

The share capital may be received through instalments as below:

First instalment called application money

Second instalment called allotment money

Third instalment called first call money

The last instalment called final call money

After allotment, whenever the need arises call can be made. Call is a demand by a company to the shareholders holding partly paid up shares to pay further instalments towards the purchase price of shares. There may be more than one call. These calls can be differentiated by serial numbers such as first call, second call, third call and so on. The last instalment will be the final call. The words 'and final' will also be added to the last call. Example, if third call is the final call, it will be termed as 'third and final call'.



Calls are to be made as provided in the Articles of Association of a company. In the absence of the required provisions in the Articles, Table F, Schedule I of the Indian Companies Act, 2013 will be applicable which has the following provisions:

Period of one month must elapse between two calls.

The amount of one call should not be more than 25% of the face value of the share.

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